



FINANCIAL ANALYSIS REPORT – MOBILE BANKING APPLICATION

Key financial insights on mobile banking performance

PROJECT SUMMARY AND SCOPE



EXECUTIVE SUMMARY

Project Scope Changes

Additional security features increased project cost by \$100,000 and extended duration by 2 months.

Financial Impact

Original ROI target was 25% but revised ROI is -20%, reflecting short-term financial challenges.

Risk Mitigation Importance

Scope changes are essential to handle compliance risks and protect long-term application trust.

Evaluation Techniques

Techniques like EAC, ETC, EMV, PERT, ROI, and CBR assess financial impact and guide recommendations.



BASELINE VS REVISED OVERVIEW



Scope Changes

The project scope was expanded to include additional security features for compliance requirements.



Schedule Extension

Project timeline extended from 12 to 14 months due to added development for new features.



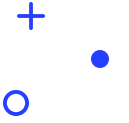
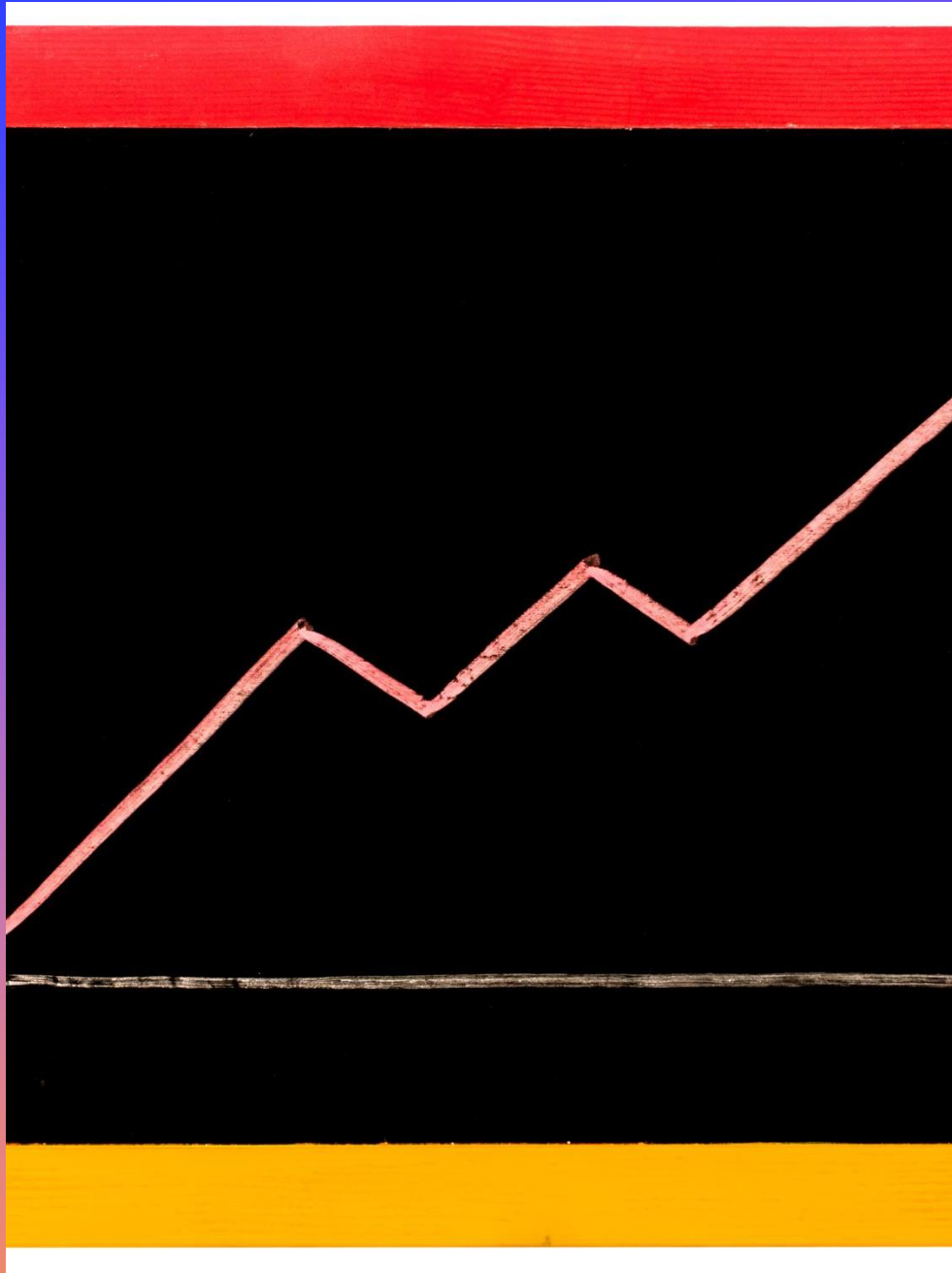
Cost Increase

Budget increased from \$500,000 to \$600,000 reflecting the scope and timeline changes.



FINANCIAL CALCULATIONS





EMV ANALYSIS

EMV Without Security Feature

Without the security feature, EMV is negative \$72,000, indicating high financial risk exposure.

EMV With Security Feature

With the security feature, EMV reduces drastically to negative \$300, minimizing potential losses.

Value of Risk Mitigation

Proactive risk mitigation through the security feature supports better project planning and compliance.



PERT ESTIMATION



PERT Formula Explanation

PERT uses optimistic, most likely, and pessimistic estimates to calculate expected project duration accurately.

Expected Duration Calculation

Expected duration is computed as $(7 + 4 \times 8 + 9)$ divided by 6, resulting in 8 months estimation.

Uncertainty Handling

PERT analysis provides a reliable approach to estimate project timelines under uncertainty and risk.

FINANCIAL PERFORMANCE





ROI & COST-BENEFIT ANALYSIS

Total Benefits Calculation

Benefits total \$500,000 combining \$400,000 revenue and \$100,000 savings over two years.

Net Profit and ROI

Net profit is negative \$100,000 resulting in a -20% ROI, indicating a loss over the period.

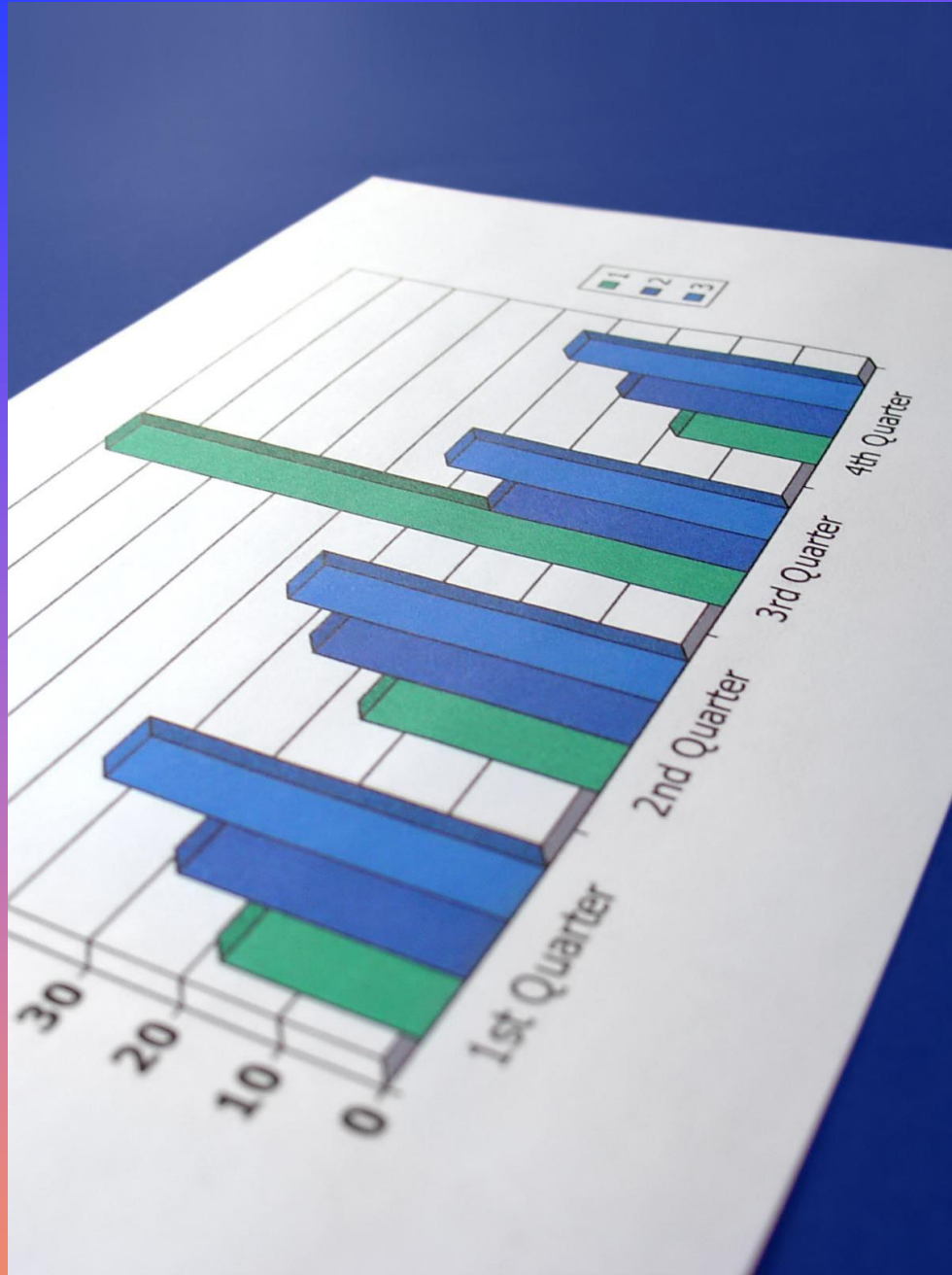
Cost-Benefit Ratio

Cost-Benefit Ratio is 0.83, showing the project costs exceed benefits in the short term.

Strategic Value Consideration

Despite negative financials, project may provide important strategic value beyond immediate returns.





VARIANCE ANALYSIS

Cost and Duration Increases

Costs increased by 20% and project duration grew by 16.67%, impacting resource planning.

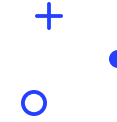
ROI and CBR Decline

Return on Investment dropped by 45 percentage points and Cost-Benefit Ratio decreased by 17%.

Strategic Compliance Importance

Despite variances, compliance and risk mitigation justify deviations from project baselines.

CASH FLOW & BREAK-EVEN ANALYSIS



Annual Revenue and Savings

Annual benefits from combined revenue and savings amount to \$250,000, contributing to project profitability.

Break-even Point Calculation

The break-even point is calculated at 2.4 years post go-live based on project costs and annual benefits.

Total Time to Break-even

Including a 14-month project duration, total time to break-even is about 3.6 years, exceeding initial ROI goals.

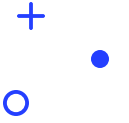
Strategic Long-term Benefits

Although break-even exceeds the 2-year target, long-term strategic benefits justify the investment.



STRATEGIC RECOMMENDATIONS





RECOMMENDATIONS

Short-Term Strategies

Introduce premium features and tiered service plans. Explore partnerships to expand market reach effectively.

Long-Term Strategies

Accelerate digital adoption, streamline workflows, enforce change control, and strengthen contingency planning.

Strategic Justification

Despite negative short-term ROI, project is justified by regulatory compliance and building long-term trust.